

FX Daily: Testing the 'this is it' trade

Optimism about a US-Iran deal, including a reopening of Hormuz, has risen significantly since the start of the week. The dollar has further to fall if a deal is eventually agreed. Elsewhere, GBP faces downside risks from today's UK local elections, and we expect a rare hold in Sweden and an out-of-consensus 25bp hike in Norway this morning



GBP faces downside risks from today's UK local elections

📉 USD: More volatility ahead

It's been a hectic 24 hours for markets. The risk on trade driven by Gulf de escalation triggered a sizeable dollar sell off and rallies in EM currencies yesterday morning, before a partial pullback in the afternoon. Volatility in FX should remain elevated into early next week as markets await the final word on a US Iran deal. Should negotiations drag on without tangible progress, we would expect the USD to reclaim recent losses, even in the absence of any military re escalation.

This morning, FX is showing signs of stabilisation, but higher equities continue to point to optimism around further de escalation. This is reinforced by growing speculation that President Trump wants to wrap up a deal with Iran ahead of the 14-15 summit with Chinese President Xi Jinping. The latest reports suggest Iran is reviewing the US proposal to reopen the Strait of Hormuz, with nuclear talks pushed to a later stage. Trump has again warned of new attacks if a deal is not agreed, but has sounded broadly optimistic and said the war could end within a week. Oil prices are hovering just above \$100/bbl and remain highly volatile.

We have been stressing the increasing relevance of equity markets for dollar crosses, and this remains crucial. For some G10 pairs, including EUR/USD, global equities currently exhibit a higher beta than oil prices. Any major further leg lower in the USD still requires a strong equity session, regardless of oil moves. The strength in risk assets and more balanced positioning suggest that DXY can easily fall back below the 97.50 pre war levels, even if oil prices settle significantly above February levels.

Francesco Pesole

EUR: Eyeing return above 1.180 if deal agreed

The euro performed well against other G10 European currencies yesterday, as markets more convincingly priced out the oil related risk premium. ECB pricing for December dropped by 15bp on the day, but remains relatively aggressive at 60bp. Another round of de escalation could push pricing lower, although there may still be decent support around 50bp for now. Notably, a June hike is no longer a done deal for markets, with pricing down to 16bp. This may reflect some growing speculation that a peace deal would give the ECB more time to assess the inflation implications of the energy shock.

Yesterday's EUR/USD intraday peak came very close to 1.1800, which to us suggests that, should a US Iran deal be finalised in the coming days, a break above 1.1800 would be on the cards. Equity markets would still do most of the heavy lifting in driving EUR/USD, even if short term rate differentials were to re widen in favour of the USD.

Francesco Pesole

GBP: Downside risks from local elections

The UK holds local elections today ([our full preview here](#)), and here's what to watch from a market perspective.

First is the performance of the ruling Labour Party, which is expected to lose a large share of its council seats. Prime Minister Keir Starmer is facing a popularity crisis, alongside growing speculation around a potential leadership challenge. The pound and gilts have reacted negatively in the past to any risk of Starmer's exit (and, by extension, that of Chancellor Rachel Reeves), given markets' association of the current leadership with a degree of fiscal rigour.

Second is the showing of opposition parties. Right wing Reform UK is widely expected to perform well in these elections, but it would probably be a strong result for the left wing Greens that would attract the most market attention. Such an outcome could fuel speculation that Labour may shift towards a more left leaning leadership, potentially reviving concerns around fiscal sustainability.

The key point is that the pound and gilts are currently embedding no visible political risk premium. This leaves scope for potentially significant downside risks, and given the more positive response of the euro to de escalation headlines yesterday, we still see room for EUR/GBP to rally. A move above 0.870 remains our baseline over the coming weeks.

Francesco Pesole

⬆️ Nordics FX: Hold in Sweden, hike in Norway

Rate announcements are scheduled for 08.30 and 09.00 BST in Sweden and Norway, respectively, this morning. We expect the Riksbank to hold rates at 1.75% and Norges Bank to hike by 25bp to 4.25%.

The Riksbank call ([preview here](#)) fully matches consensus and pricing. Yesterday's 0.8% CPIF print for April suggests the starting point remains very low for inflation in Sweden. The exposure to higher energy prices is also much smaller relative to the eurozone and VAT cuts will offset some spikes.

We were expecting a hawkish tilt in the message, but the latest encouraging news from the Gulf suggests they are more likely to stick to a neutral, wait-and-see approach. Pricing has turned more dovish in the past couple of days and we expect a neutral impact on EUR/SEK, even if our bias remains bearish on the pair.

We are expecting an out-of-consensus 25bp hike in Norway ([preview here](#)). We made that call last week before the latest Gulf news, which has shifted the risks a bit to the dovish side. However, we read last meeting's minutes as a sign that inflation concerns are broad-based, not only war-related, and also a sense of urgency that we suspect markets are underestimating.

Surely, the latest oil drop suggests a lower risk they will keep the door open for more just yet, perhaps delivering a similar hike to the RBA earlier this week. We still favour EUR/NOK downside despite yesterday's positioning squeeze on the oil move. Markets are pricing in 13bp for today, and around 60bp by September. A hike today without hawkish guidance would probably limit how far NOK can rally in the near term. Yesterday, the oil drop probably triggered a meaningful positioning squeeze in NOK, with EUR/NOK rallying above 10.90. Still, we expect a return to 10.80 in the coming months as oil prices should land well above pre-war levels whilst NOK absorbs the strong risk environment in a de-escalation.

Francesco Pesole

➡️ CEE: Central banks battling hawkish markets

Today we have two central bank meetings in the CEE region – the National Bank of Poland and the Czech National Bank. In both cases, we expect rates to remain unchanged at 3.75% and 3.50%, in line with expectations, and in both cases, the focus will be on forward guidance, where central banks are trying to avoid rate hikes amid the current energy shock. In both cases, however, core inflation was pushed up in April and policymakers cannot ignore rising headline inflation just because of rising fuel prices.

Yesterday's NBP statement did not say much, but we think there will be a [slightly more hawkish tone from Governor Adam Glapinski](#) today compared to the April meeting. In addition to forward guidance, the CNB will also publish a new forecast that will, without surprise, bring lower economic growth and higher inflation compared to the February forecast. However, the inflation profile should still be within the tolerance band, which [Governor Ales Michl will probably use as an argument for wait-and-see.](#)

Our economists expect rates to remain unchanged for an extended period in both countries. However, the current situation puts inflation profiles under test, especially core inflation, which

rose in both countries in April, and a potential ECB rate hike will keep market pricing hawkish. After yesterday's global relief, the market is pricing in roughly three hikes in the one-year horizon in the Czech Republic and a few bps less in Poland. Today's meetings, together with yesterday's positive sentiment, could again reduce hike bets a bit. Still, we do not expect the market to take back all pricing given the unclear inflation development even if the US-Iran conflict ends today.

The Polish zloty and the Czech koruna saw some rally yesterday as part of the global relief and almost returned to pre-conflict levels. Given the expected pressure on the current account and GDP growth in the region, we cannot expect to see more gains here. We therefore see upside for EUR/PLN and EUR/CZK from current levels if central banks surprise on the dovish side.

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